CHAPTER 8

INTERNATIONAL ISSUES

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Through much of my term, I worried about the flood of liquidity unleashed by the central banks of industrial countries. In my previous role as Chief Economic Advisor, and co-chair of the Framework Working Group of the G-20, I, together with my very capable advisors, including Dr Prachi Mishra, had pushed the G-20 to finally recognize the possible adverse spillover effects (through capital flows) caused by industrial country monetary policies. When the U.S. Federal Reserve embarked on its process of tightening, I spoke publicly of the need for it to take the consequences of its actions around the world into account – I was committing the cardinal central banker sin of commenting on another central bank's policy, but I thought it was important for India. While I was not naïve enough to believe this would alter Fed policy, it contributed to an attitudinal change. Perhaps as a result of such commentary from a variety of sources, the Fed did say in a number of its subsequent statements that it was sensitive to conditions outside the United States, and in one policy meeting, may have held its hand because of unsettled conditions abroad. At any rate, I was invited to give a speech at the Brookings Institution on 10 April 2014 on my concerns.* Ben Bernanke, the recently retired Fed Chairman, was in the audience.

Competitive Monetary Easing: Is It Yesterday Once More?

As the world seems to be struggling back to its feet after the great financial crisis, I want to draw attention to an area we need to be